

MAGADH CAPITAL ADVISORS LLP

Registered Office: 0-801, Floor 8 – Tower 1, Terra, Planet Godrej, Keshavrao Khadye Marg, Saat Rasta, Jacob Circle, Mumbai 400 011, Maharashtra, India

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DISCLOSURE DOCUMENT

As per the requirement of Schedule V and Regulation 22 of Securities and Exchange Board of India (Portfolio Managers) Regulation 2020:

- i. The Disclosure Document ("**Document**") has been filed with the Securities and Exchange Board of India along with the certificate in the specified format in terms of Regulation 22 of the SEBI (Portfolio Managers) Regulations, 2020.
- ii. The purpose of the Document is to provide essential information about the Portfolio Management Services ("**PMS**") in a manner to assist and enable the investors in making informed decision for engaging Magadh Capital Advisors LLP ("**Magadh**" or "**Magadh Capital**") as a Portfolio Manager.
- iii. The disclosure document contains the necessary information about the Portfolio Manager, required by an investor before investing, and hence, the investor is advised to retain the document for future reference.

The following are the Details of the Portfolio Manager:

Name of the Portfolio Manager	Magadh Capital Advisors LLP
SEBI Registration Number	INP000007155
Goods & Service Registration No.	27ABDFM0206A2Z2
Registered Office Address	0-801, Floor 8- Tower 1, Terra, Planet Godrej, Keshavrao Khadye Marg, Saat Rasta, Jacob Circle, Mumbai 400011
Principal Place of Business	One Lodha Place, 12th Floor, Unit No. 1215C, Senapati Bapat Marg, Lower Parel, Mumbai – 400013, Maharashtra, India
LLPIN:	AAG-4940
Phone	+91 98216 27938, +91 70457 93127
Website	www.magadhcapital.com

The name, phone number, e-mail address of the Principal Officer so designated by the Portfolio Manager is:

Name of the Principal Officer	Mr. Vipul Prasad
Phone	+91 9821627938
Email	vipul.prasad@magadhcapital.com
Address	801, Tower 1, Planet Godrej, K. Khadye Marg, Mahalaxmi East, Mumbai, Jacob Circle, Maharashtra, 400011, India

Date: May 21, 2026

FORM C

SECURITIES & EXCHANGE BOARD OF INDIA (PORTFOLIO MANAGERS) REGULATIONS 2020,

Regulation 22

Name of the Portfolio Manager : Magadh Capital Advisors LLP

Reg. Office Address : 0-801, Floor 8- Tower 1, Terra,
Planet Godrej, Keshavrao Khadye Marg
Saat Rasta, Jacob Circle, Mumbai 400011

Telephone : +91 98216 27938, +91 70457 93127

Email : info@magadhcapital.com

We confirm that:

- i) The Disclosure Document forwarded to the Securities & Exchange Board of India (SEBI) is in accordance with the SEBI (Portfolio Managers) Regulations, 2020 and the guidelines and directives issued by SEBI from time to time in this regard;
- ii) The disclosures made in the Disclosure Document are true, fair and adequate to enable the investors to make a well-informed decision regarding entrusting the management of their portfolio to us/ investment in the Portfolio Management Services;
- iii) The Disclosure Document has been duly certified by an independent Chartered Accountant - J D Jhaveri & Associates, Chartered Accountants, having membership no. 045072 and office at A - 105, Silver Arch, Ceaser Road, Amboli, Opp. Filmalaya Studio, Andheri (W), Mumbai – 400058, Maharashtra India, Telephone: +91 9821195140 on May 21, 2026.

For and on behalf of Magadh Capital Advisors LLP



Vipul Prasad
Principal officer

Address: One Lodha Place, 12th Floor, Unit No. 1215C, Senapati Bapat Marg, Lower Parel,
Mumbai-400013, Maharashtra, India.

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Part-I Static Section:

1. Disclaimer Clause:

This Document has been prepared in accordance with the SEBI (Portfolio Managers) Regulations, 2020 and filed with SEBI. This Document has neither been approved nor disapproved by SEBI nor has SEBI certified the accuracy or adequacy of the contents of this Document.

The distribution of this Document in certain jurisdictions may be restricted or totally prohibited and accordingly, persons who come into possession of this Document are required to inform themselves about and to observe any such restrictions.

2. Definitions:

Unless the context or meaning thereof otherwise requires, the following words and expressions shall have the meaning assigned to them hereunder respectively:

- 1) **“Act”** means the Securities and Exchange Board of India Act, 1992.
- 2) **“Accreditation Agency”** means a subsidiary of a recognized stock exchange or a subsidiary of a depository or any other entity as may be specified by SEBI from time to time.
- 3) **“Accredited Investor”** means any person who is granted a certificate of accreditation by an accreditation agency who:
 - (i) in case of an individual, HUF, family trust or sole proprietorship has:
 - (a) annual income of at least two crore rupees; or
 - (b) net worth of at least seven crore fifty lakh rupees, out of which not less than three crores seventy-five lakh rupees is in the form of financial assets; or
 - (c) annual income of at least one crore rupees and minimum net worth of five crore rupees, out of which not less than two crore fifty lakh rupees is in the form of financial assets.
 - (ii) in case of a body corporate, has net worth of at least fifty crore rupees;
 - (iii) in case of a trust other than family trust, has net worth of at least fifty crore rupees;
 - (iv) in case of a partnership firm set up under the Indian Partnership Act, 1932, each partner independently meets the eligibility criteria for accreditation:

Provided that the Central Government and the State Governments, developmental agencies set up under the aegis of the Central Government or the State Governments, funds set up by the Central Government or the State Governments, qualified institutional buyers as defined under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, Category I foreign portfolio investors, sovereign wealth

funds and multilateral agencies and any other entity as may be specified by the Board from time to time, shall be deemed to be an accredited investor and may not be required to obtain a certificate of accreditation.

- 4) **“Advisory Services”** means advising on the portfolio approach, investment and divestment of individual Securities in the Client’s Portfolio, entirely at the Client’s risk, in terms of the Regulations and the Agreement.
- 5) **“Agreement” or “Portfolio Management Services Agreement” or “PMS Agreement”** means agreement executed between the Portfolio Manager and its Client for providing portfolio management services and shall include all schedules and annexures attached thereto and any amendments made to this agreement by the parties in writing, in terms of Regulation 22 and Schedule IV of the Regulations.
- 6) **“Applicable Law/s”** means any applicable statute, law, ordinance, regulation, rule, order, bye-law, administrative interpretation, writ, injunction, directive, judgment or decree or other instrument including the Regulations which has a force of law, as is in force from time to time.
- 7) **“Assets Under Management” or “AUM”** means aggregate net asset value of the Portfolio managed by the Portfolio Manager on behalf of the Clients
- 8) **“Associate”** means (i) a body corporate in which a director or partner of the Portfolio Manager holds either individually or collectively, more than twenty percent of its paid-up equity share capital or partnership interest, as the case may be; or (ii) a body corporate which holds, either individually or collectively, more than twenty percent of the paid-up equity share capital or partnership interest, as the case may be of the Portfolio Manager.
- 9) **“Benchmark”** means an index selected by the Portfolio Manager in accordance with the Regulations, in respect of each Investment Approach to enable the Clients to evaluate the relative performance of the Portfolio Manager.
- 10) **“Board” or “SEBI”** means the Securities and Exchange Board of India established under section 3 of the Securities and Exchange Board of India Act, 1992.
- 11) **“Business Day”** means any day, which is not a Saturday, Sunday, or a day on which the banks or stock exchanges in India are authorized or required by Applicable Laws to remain closed or such other events as the Portfolio Manager may specify from time to time.
- 12) **“Client(s)” / “Investor(s)”** means any person who enters into an Agreement with the Portfolio Manager for availing the services of portfolio management as provided by the Portfolio Manager.

- 13) **“Custodian(s)”** means an entity registered with the SEBI as a custodian under the Applicable Laws and appointed by the Portfolio Manager, from time to time, primarily for custody of Securities of the Client.
- 14) **“Depository”** means the depository as defined in the Depositories Act, 1996 (22 of 1996).
- 15) **“Depository Account”** means an account of the Client or for the Client with an entity registered as a depository participant under the SEBI (Depositories and Participants) Regulations, 1996.
- 16) **“Direct on-boarding”** means an option provided to clients to be on-boarded directly with the Portfolio Manager without intermediation of persons engaged in distribution services.
- 17) **“Disclosure Document” or “Document”** means the disclosure document for offering portfolio management services prepared in accordance with the Regulations.
- 18) **“Distributor”** means a person/entity who may refer a Client to avail services of Portfolio Manager in lieu of commission/charges (whether known as channel partners, agents, referral interfaces or by any other name).
- 19) **“Eligible Investors”** means a Person who: (i) complies with the Applicable Laws, and (ii) is willing to execute necessary documentation as stipulated by the Portfolio Manager.
- 20) **“Fair Market Value”** means the price that the Security would ordinarily fetch on sale in the open market on the particular date.
- 21) **“Foreign Portfolio Investors” or “FPI”** means a person registered with SEBI as a foreign portfolio investor under the Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019 as amended from time to time.
- 22) **“Financial Year”** means the year starting from April 1 and ending on March 31 in the following year.
- 23) **“Funds” or “Capital Contribution”** means the monies managed by the Portfolio Manager on behalf of the Client pursuant to the Agreement and includes the monies mentioned in the account opening form, any further monies placed by the Client with the Portfolio Manager for being managed pursuant to the Agreement, the proceeds of sale or other realization of the portfolio and interest, dividend or other monies arising from the assets, so long as the same is managed by the Portfolio Manager.
- 24) **“Group Company”** shall mean an entity which is a holding, subsidiary, associate, subsidiary of a holding company to which it is also a subsidiary.

- 25) **"HUF"** means the Hindu Undivided Family as defined in Section 2(31) of the IT Act.
- 26) **"Investment Approach"** is a broad outlay of the type of Securities and permissible instruments to be invested in by the Portfolio Manager for the Client, taking into account factors specific to Clients and Securities and includes any of the current Investment Approach or such Investment Approach that may be introduced at any time in future by the Portfolio Manager.
- 27) **"IT Act"** means the Income Tax Act, 1961, as amended and restated from time to time along with the rules prescribed thereunder.
- 28) **"Large Value Accredited Investor"** means an Accredited Investor who has entered into an Agreement with the Portfolio Manager for a minimum investment amount of ten crore rupees.
- 29) **"Non-resident Investors" or "NRI(s)"** shall mean non-resident Indian as defined in Section 2 (30) of the IT Act.
- 30) **"NAV"** shall mean Net Asset Value, which is the price; that the investment would ordinarily fetch on sale in the open market on the relevant date, less any receivables and fees due.
- 31) **"NISM"** means the National Institute of Securities Markets, established by the Board.
- 32) **"Person"** includes an individual, a HUF, a corporation, a partnership (whether limited or unlimited), a limited liability company, a body of individuals, an association, a proprietorship, a trust, an institutional investor and any other entity or organization whether incorporated or not, whether Indian or foreign, including a government or an agency or instrumentality thereof.
- 33) **"Portfolio"** means the total holdings of all investments, Securities and Funds belonging to the Client.
- 34) **"Portfolio Manager"** Magadh Capital Advisors LLP, a limited liability partnership incorporated under the Limited Liability Partnership Act, 2008 and having its registered office **0-801, Floor 8- Tower 1, Terra, Planet Godrej, Keshavrao Khadye Marg, Saat Rasta, Jacob Circle, Mumbai 400011** and principal place of business **at 12th Floor, Unit No. 1215C, Senapati Bapat Marg, Lower Parel, Mumbai-400013**, Maharashtra, India, which is registered with SEBI as a Portfolio Manager under SEBI (Portfolio Managers) Regulations, 2020, bearing **Registration No. INP000007155**.
- 35) **"Principal Officer"** means an employee of the Portfolio Manager who has been designated as such by the Portfolio Manager and is responsible for:

- (i) the decisions made by the Portfolio Manager for the management or administration of Portfolio of Securities or the Funds of the Client, as the case may be; and
- (ii) all other operations of the Portfolio Manager

36) **“Regulations” or “SEBI Regulations”** means the Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020, as amended/modified and reenacted from time to time and including the circulars/notifications issued pursuant thereto.

37) **“Related Party”** means –

- (i) a director, partner or his relative;
- (ii) key managerial personnel or his relative;
- (iii) a firm, in which a director, partner, manager or his relative is a partner;
- (iv) a private company in which a director, partner or manager or his relative is a member or director;
- (v) a public company in which a director, partner or manager is a director or holds along with his relatives, more than two per cent. of its paid-up share capital;
- (vi) any body corporate whose board of directors, managing director or manager is accustomed to act in accordance with the advice, directions or instructions of a director, partner or manager;
- (vii) any person on whose advice, directions or instructions a director, partner or manager is accustomed to act:

Provided that nothing in sub-clauses (vi) and (vii) shall apply to the advice, directions or instructions given in a professional capacity;

- (viii) Any body corporate which is— (A) a holding, subsidiary or an associate company of the Portfolio Manager; or (B) a subsidiary of a holding company to which the Portfolio Manager is also a subsidiary; (C) an investing company or the venturer of the Portfolio Manager— The investing company or the venturer of the Portfolio Manager means a body corporate whose investment in the Portfolio Manager would result in the Portfolio Manager becoming an associate of the body corporate;
- (ix) a related party as defined under the applicable accounting standards;
- (x) such other person as may be specified by the Board:

Provided that,

- a) any person or entity forming a part of the promoter or promoter group of the listed entity; or
- (b) any person or any entity, holding equity shares:
 - (i) of twenty per cent or more; or
 - (ii) of ten per cent or more, with effect from April 1, 2023; in the listed entity either directly or on a beneficial interest basis as provided under section 89 of the Companies Act, 2013, at any time, during the immediately preceding Financial Year; shall be deemed to be a related party;

38. “**Securities**” means security as defined in Section 2(h) of the Securities Contract (Regulation) Act, 1956, provided that securities shall not include any securities which the Portfolio Manager is prohibited from investing in or advising on under the Regulations or any other law for the time being in force.

3. Description:

I. History, Present Business and Background of the Portfolio Manager.

Magadh Capital was incorporated with an aim to provide a conventional style based, fundamental research driven platform to invest for large investors – high net worth individuals, family offices, corporates, financial institutions etc. - in India and abroad. The founder of Magadh Capital, the principal officer of the PMS, had earlier worked for twelve years as an institutional equity research analyst with large investments banks advising large institutional investors- largely foreign institutional investors but also some of the largest Indian mutual funds, regarding stock investments in Indian markets. During this long stint he felt that there were not enough equity investment vehicles that offered a fund based on a combination of fundamental research and behavioural finance for wealth creation and accordingly decided to start this venture. Magadh Capital received its license from SEBI for its AIF, category III in 2016 and for its PMS in 2021.

We are only in the business of fund management. We had run our Magadh Capital Long- Term Growth Scheme, AIF category III fund for about three years during 2018- 2020. Having run this fund, we got enough confidence in our process, style and philosophy and accordingly enhanced our offering with a PMS in 2021. In our process a very important part is ensuring that investors’ interests are aligned with the fund managers’ interests. Accordingly, we remain selective in the investors that we take onboard.

Key Events:

1.	Date of Incorporation as a limited partnership firm incorporated under the limited liability Partnership Act 2008	:	28 th May, 2016
2.	Received License to operate an AIF, category III	:	24 th November, 2016
3.	Received License to operate Portfolio Manager Activities	:	15 th February, 2021

II. Partners and their background:

1. Mr. Vipul Prasad:

Mr. Vipul Prasad is the Principal Officer / Portfolio Manager of Magadh Capital PMS and CEO/Founder and a designated partner of Magadh Capital Advisors LLP.

Vipul Prasad has handled senior roles in investment management, equity research, planning, marketing and maintenance in fields of investment banking and manufacturing in his career spanning above 30 years. He has above 23 years of experience in equity markets. Since August, 2021 Vipul has been managing Magadh Capital PMS. Prior to that, between January 2018 and November 2020, he had managed Magadh Capital Long-Term Growth Scheme as an AIF, category III fund that was a fundamental investment based multi-cap, sector agnostic fund with a long-term investment horizon.

Prior to setting up Magadh Capital he had worked for more than twelve years as lead equity research analyst with some large and reputed investment banks (ten years with Morgan Stanley, and before that, one year each with ABN AMRO Asia Equities and Motilal Oswal Securities) advising institutional investors like mutual funds, sovereign wealth funds, pension funds, hedge funds and PE funds from across the world on stock investments, based on fundamental research, in Indian metals and mining, cement and media sectors. As an equity research analyst Vipul enjoyed good reputation for fundamental research, industry understanding, valuation skills and integrity. He also played important role as research analyst in many large IPO/FPO like Coal India (in 2010, the largest IPO in India till 2021 at US\$ 3.3b), National Mineral Development Corporation (in 2010), Entertainment Networks India Ltd (in 2006), Hathway Cable (in 2010) etc. Vipul was also instrumental in rights issues of companies like Tata Steel, Hindalco, Sterlite, Vedanta etc.

As leader of sector equity research teams his job involved predicting movement in stock prices based on analysis of macroeconomic and industry trends, company and competitor strategy, key success parameters, identification of main business drivers, forecast of income statements / balance sheets / cash flows, and valuations.

In his role as lead equity research analyst for metals and mining sector research, apart from tracking the global commodity sector Vipul has also keenly followed trends in Indian infrastructure, capital goods, power and utilities, oil and gas and automobile sectors over twelve years. He was consistently ranked amongst top equity analysts in client ratings – both internally as well as externally {Institutional Investor (2012, 2014, 2015), Asia money (2008)}, and in other rankings like India Today (2008) and Bloomberg (2007).

He was Executive Director, Equity Research with Morgan Stanley (based in Mumbai) before founding Magadh Capital Advisors. Earlier in his career he had worked with BASF India for a year in marketing, and with SAIL (Steel Authority of India Ltd) for six years in planning, maintenance and operations.

Having worked in equity markets for more than 21 years Vipul has experienced two bull and bear cycles in Indian equity market as an investment industry professional. He is a voracious reader with keen interest in history (including equity markets'), behavioural finance, economics and global geopolitics.

He is a regular contributor to business newspaper columns on macroeconomics and equity markets. He has presented on metals industry trends in industry forums and seminars- both in India as well as abroad, and has been regularly quoted in print and electronic media on equity markets, stocks and sector prospects. He also served on Indian government's working group on steel industry in 2013.

Vipul holds a Master's in Business Administration from Indian Institute of Management, Kolkata (PGDM in Finance and Strategy, in 2002) and a Bachelor's degree (B. Tech in Mechanical Engineering, in 1994) from Indian Institute of Technology, BHU, Varanasi.

2. Mr. Vivek Prasad

Mr. Vivek Prasad is a designated partner of Magadh Capital Advisors LLP.

Vivek Prasad has been an entrepreneur for more than 20 years and has nurtured businesses in sectors as diverse as petrochemicals, healthcare and food.

Before starting his journey as an entrepreneur, he had worked with reputed companies at senior levels. In his last stint before turning into an entrepreneur Vivek had held national level position at Bausch and Lomb India for marketing and channel management in a retail environment. Prior to that he had worked with Marubeni Corp of Japan for six years in equipment finance and business development especially for machinery for automobile, petrochemical and construction industry. He had also worked at Tata International earlier in the field of international trade

He is an avid trekker and a nature enthusiast. He has been to several high-altitude expeditions in the Himalayas. Vivek is an MBA from Narsee Monjee Institute of Management Studies, Mumbai (Marketing with International Business, in 1996) and a BE (Mechanical Engineering, in 1992) from MSRIT, Bangalore.

3. Mr. Vikram Sinha

Mr. Vikram Sinha is a partner of Magadh Capital Advisors LLP.

Vikram is President Director and CEO of Indosat Ooredoo Hutchison in Indonesia. A seasoned global telecom executive, he has worked in various markets in Asia and Africa and has a strong track record of driving top-line growth, increasing profitability and building teams across diverse industries and geographies. He spent nearly a decade with Bharti Airtel in India and Africa, serving in several senior positions, including as COO of Congo Brazzaville, MD of Airtel Seychelles and Head of Sales & Distribution at Airtel India. He then moved to the Ooredoo Group where he took on numerous roles, including as CEO stationed in Maldives and Myanmar, and Director and Chief Operating Officer of

Indosat Ooredoo before taking up his current role.

He earned a Bachelor of Business Administration in Marketing from Bangalore University in 1998, followed by a post-graduate degree in International Management from International Management Institute (IMI), New Delhi in 2002

III. Group companies' information (i.e. the information related to top 10 group companies / firms of the Portfolio Manager on turnover basis) (as per audited financial statements for the year ended March 2026).

There is no group company of Magadh Capital Advisors LLP.

IV. Details of the Services being offered: Discretionary / Advisory

1. Discretionary Services:

Under these services, the choice as well as the timings of the investment decisions rest solely with the Portfolio Manager and the Portfolio Manager can exercise any degree of discretion in the investments or management of assets of the Client. The Securities invested/disinvested by the Portfolio Manager for Clients may differ from Client to Client. The Portfolio Manager's decision (taken in good faith) in deployment of the Client's Funds is absolute and final and can never be called in question or be open to review at any time during the currency of the Client Agreement or at any time thereafter except on the ground of fraud, mala fide, conflict of interest or gross negligence. This right of the Portfolio Manager shall be exercised strictly in accordance with the relevant Acts, Regulations, guidelines and notifications in force from time to time. Periodical statements in respect to Client's Portfolio shall be sent to the respective Client.

2. Non-Discretionary Services:

Under these services, the Client's portfolio shall be managed in consultation with the Client and in accordance with their instructions. The assets will be managed as per the express prior instructions issued by the Client from time to time. The Client will have complete discretion to decide on the investments, including the security name, quantity, and price or amount. The Portfolio Manager will, among other things, manage transaction execution, accounting, recordkeeping of corporate benefits, valuation, and reporting on behalf of the Client, entirely at the Client's risk.

3. Advisory Services:

Under these services, the Portfolio Manager advises the Client on investments in general or any specific advice required by the Clients and agreed upon in the Client agreement. The Portfolio Manager will render the best possible advice to the client having regard to the client's needs and the investment requirement, and his own professional skills. The same can be binding or non-binding in nature or in such terms as mentioned in the Client agreement. For such services, the

Portfolio Manager charges the Client a fee for services rendered mentioned in the Client agreement. The advice may be either general or specific in nature and may pertain to a particular portfolio. Entry / exit timing, execution and settlement are solely the Clients responsibility.

4. Penalties, Pending Litigation Or Investigations For Which Action May Have Been Taken Or Initiated By Any Regulatory Authority.

i.	All cases of penalties imposed by the Board or the directions issued by the Board under the Act or Rules or Regulations made there under:	:	None
ii.	The nature of the penalty / direction:	:	None
iii.	Penalties imposed for any economic offence and / or for violation of any securities laws	:	None
iv.	Any pending material litigation / legal proceedings against the portfolio manager / key personnel with separate disclosure regarding pending criminal cases, if any.	:	None
v.	Any deficiency in the systems and operations of the portfolio manager observed by the Board or any regulatory agency	:	None
vi.	Any enquiry / adjudication proceedings initiated by the Board as on date against the portfolio manager or its directors, principal officer or employee or any person directly or indirectly connected with the portfolio manager or its directors, principal officer or employee, under the Act or Rules or Regulations made thereunder	:	None

5. Services Offered.

- i. The present investment objectives and policies including the types of securities in which it generally invests shall be clearly and concisely stated in the document for easy understanding of the potential investor**

Discretionary PMS:

The Portfolio Manager manages the Assets of the Client using the following strategies:

Investments are done in Indian listed equity space, based on a mix of fundamental research and behavioral finance. Our stock selection is driven by our bottom-up fundamental research-based methodology. Here we are also mindful of the top-down market and sector trends. The portfolio construction is based on our proprietary FACTS box process.

The Portfolio Manager may design and develop various products keeping in mind market conditions and sector/stock opportunities. The Portfolio in all cases will be guided strictly by the relevant guidelines, Acts, rules, Regulations, and notifications. The instrument may be principal protected or non- protected, which may have fixed

or variable pay-offs. The investment objective of the Portfolio Manager shall be to generate attractive growth of capital with optimal risks, and at the same time to reduce the risk of permanent capital erosion. However, while the aforesaid is the objective, it needs to be reiterated that there can be no assurance and / or guarantee of such growth or even as regards preservation of capital or of there being no capital loss. The amount invested by the Client may be subject to some exit load as detailed in the relevant schedule to the Client Agreement.

The main features under Magadh Capital's Discretionary Portfolio Management Services are:

i) Application of rigorous fundamental equity research and behavioral finance, ii) Intense focus on risk mitigation, and iii) Continuous assessment of gap between stocks' fair value and market price.

NOTE:

- Investments shall be made in accordance with the Regulations.
- The uninvested amounts forming part of the Client's Assets may, at the discretion of the Portfolio Manager, be held in cash or deployed in liquid fund schemes, exchange traded index funds, debt-oriented schemes of mutual funds, gilt schemes, bank deposits and other short-term avenues for investment.
- The Portfolio Manager may, with the consent of the Client, lend the securities through an approved intermediary.
- The Portfolio Manager shall, prior to investing in the securities of associate / group companies, evaluate such investments, the criteria for the evaluation being the same as is applied to other similar investments to be made. Investments under the Portfolio in securities of the group companies will be subject to the limits (if any) prescribed in the Client Agreement subject to the applicable laws / regulations / guidelines.

Currently the Portfolio Manager offers following Investment Approaches under Discretionary Management Services:

1. Value for Growth
2. Future Stars

II. Investment Approaches of the Portfolio Manager:

The investment objective and investment approach of the existing portfolios offered are as follows:

1. VALUE FOR GROWTH: SECTOR AGNOSTIC, MULTI-CAP INVESTMENT APPROACH

Investment Objective: To help investors create wealth over 2-4 years without taking undue risks. Towards this objective, we aim to i) Protect the capital- from – a) deep and prolonged bear markets, b) concentration risk, and c) extreme volatility, and ii) Provide capital appreciation over long term by – a) spotting mispricing in equities, and b) constructing a stock portfolio consisting of a mix of good stocks with high growth potential, or with above market growth and high predictability.

Product Strategy and Basic Details: Value for Growth: A multi-cap, sector agnostic investment approach with BSE 500 TRI (Total Return Index) as the benchmark. The portfolio will always have at least 35% exposure to large-cap stocks.

To buy good companies with sustainable competitive advantages, or sustainably improving businesses, at fair price. They key markers for competitive advantages that we focus on are earnings growth and return ratios.

A combination of fundamental equity analysis, active monitoring, patience, and long-term horizon – that we intend to follow has been a proven way to wealth creation. There can be some volatility risk but the idea here is to deliver healthy long term returns by real diversification and risk-reward optimization.

Description of Securities: Investors' funds are primarily invested in equity shares and equity linked instruments issued by companies which are listed in India. Some part of funds may be invested in money market funds, liquid funds, debt funds or/and kept as cash in bank.

Basis of Selection of type of security:

- Sizeable gap between fair value and stock price
- Focus should be on fast growing and/or mispriced companies led by good management
- Leadership – existing or potential- in a sector or sub-sector, backed by sustainable competitive advantages are some key indicators for good companies
- Corporate governance is an important filter to use

Allocation of portfolio across types of securities:

Type of security	Allocation in portfolio
Equity and equity linked instruments - Large Cap	At least 35%
Equity and equity linked instruments- Mid Cap & Small Cap	Up to a maximum of 65%
Debt / Money market funds / Liquid funds / Mutual Funds / Bank Deposits	Will depend on fund manager's market call but generally should not exceed 10-15%

Note: There will be no prior intimation or prior indication given to the investor/client whenever there is a change in the composition / asset allocation pattern. The change will be at the Fund Manager's discretion subject to market risks, various micro and macro factors and forces affecting the capital markets and include price fluctuation risks.

We apply our process of FACTS box or portfolio construction. Apart from fundamental analysis we also apply behavioral finance quite actively in decision making.

Benchmark: BSE 500 TRI (Total Return Index) is the index that we use for benchmarking our performance. The portfolio consists of a diversified mix of

companies across sectors and market capitalization curve. BSE 500 TRI index is a fair mix of large cap, mid cap and small caps stocks from across sectors. It is a well-diversified index and represents the same segment of Indian equity markets that our Value for Growth investment approach is focused on. Hence, BSE 500 TRI has been selected as the benchmark for comparing performance of this investment approach.

Recommended Investment Horizon, Exit Loads: The Investment Approach shall not be subject to any lock-in period, although the investment horizon should be 2-4 years, ideally. Redemption during first 12 months, 24 months, and 36 months will attract exit load of up to 3.0%, up to 2.0%, and up to 1.0% respectively.

Direct Option: Investor may invest with us directly as well. To invest in any of our PMS strategies directly, kindly write to us at investor.info@magadhcapital.com

Risks associated with the investment approach: Risk factors associated with the investment approach are Equity risk, Systematic risk, Concentration risk, Model portfolio risk, Mismatch risk and Execution risk. For detailed risk factors, please refer the Clause on Risk Factors of this disclosure document.

2. FUTURE STARS: SECTOR AGNOSTIC, SMALL AND MID-CAP FOCUSED INVESTMENT APPROACH

Investment Objective: To help investors create wealth over 3-5 years by delivering superior risk adjusted returns. Towards this objective, we aim to i) Protect the capital - from – a) deep and prolonged bear markets, b) concentration risk, c) extreme volatility, and d) corporate mis-governance, and ii) Provide capital appreciation over long term by – a) spotting mispricing in equities, b) constructing a stock portfolio with some well calibrated volatility risk but with low portfolio correlation, and c) investing in high growth companies.

Product Strategy and Basic Details: Future Stars: A small-cap and mid-cap, sector agnostic investment approach with BSE 500 TRI (Total Return Index) as the benchmark. At least 75% of the Future Stars portfolio is allocated to mid-cap and small cap space.

To identify and buy companies that can deliver multifold gains in free cash flows, can get into sector leadership and/or are positioned to gain disproportionately from industry tailwinds - over next 3-5 years.

A combination of proper equity analysis, active monitoring, patience, and long-term horizon – that we intend to follow has been a proven way to wealth creation. Volatility risk in this journey can be sizeable but the idea here is to catch some potential multi baggers early in their life cycles even with relatively modest hit ratios.

Description of Securities: Investors' funds are primarily invested in equity shares and equity linked instruments issued by companies which are listed in India. Some part of funds may be invested in units of money market funds, liquid funds, debt funds and/or some part may be kept as cash in bank.

Basis of Selection of type of security:

- Sizeable gap between fair value and stock price
- Focus should be on fast growing and/or mispriced companies led by good management

- Leadership – existing or potential- in a sector or sub-sector, backed by sustainable competitive advantages are some key indicators for good companies
- Corporate governance is an important filter to use

Allocation of portfolio across types of securities:

Type of security	Allocation in portfolio
Equity and equity linked instruments (small-cap and mid-cap)	At least 75%
Equity and equity linked instruments (Large Cap)	up to 25%
Debt / Money market funds / Liquid funds / Mutual Funds / Bank Deposits	Will depend on fund manager's market call but generally should not exceed 10-15%

Note: There will be no prior intimation or prior indication given to the investor/client whenever there is a change in the composition / asset allocation pattern. The change will be at the Fund Manager's discretion subject to market risks, various micro and macro factors and forces affecting the capital markets and include price fluctuation risks.

We apply our process of FACTS box or portfolio construction.

Apart from fundamental analysis we also apply behavioral finance quite actively in decision making.

Benchmark: BSE 500 TRI (Total Return Index) is the index that we use for benchmarking our performance. The portfolio's strategy is to invest largely in Companies with mid-and- small market capitalization diversified across sectors. At the same time, in order to balance the risks, up to 25% of the portfolio will be invested in large cap stocks. Thus, on a portfolio basis we expect the risk profile to be close to that of BSE 500 TRI index.

Recommended Investment Horizon, Lock-in period, Exit Loads: The Investment Approach shall not be subject to any lock-in period, although the investment horizon should be 3-5 years, ideally. Redemption during first 12 months, 24 months, and 36 months will attract exit load of up to 3.0%, up to 2.0%, and up to 1.0% respectively.

Direct Option: Investor may invest with us directly as well. To invest in any of our PMS strategies directly, kindly write to us at: investor.info@magadhcapital.com

Risks associated with the investment approach: Risk factors associated with the investment approach are Equity risk, Systematic risk, Concentration risk, Model portfolio risk, Mismatch risk and Execution risk. *This investment approach focuses more towards mid-cap and small cap sector stocks and hence its NAV may be more volatile. For the same reason, corporate mis-governance risks are also there.* For detailed risk factors, please refer the Clause on Risk Factors of this disclosure document.

III. The policies for investments in associates / group companies of the portfolio

manager and the maximum percentage of such investments therein subject to the applicable laws / regulations / guidelines

The Portfolio Manager does not have an associate company / group company

6. Risk Factors:

A. General Risks Factors

- (1) Investments in Securities are subject to market risks and there is no assurance or guarantee that the objective of investments will be achieved.
- (2) Past performance of the Portfolio Manager does not indicate its future performance.
- (3) Investors are not being offered any guaranteed or assured return(s) i.e. either of principal or of appreciation of the Portfolio.
- (4) Investors may note that Portfolio Manager's investment decisions may not be always profitable, as actual market movements may be at variance with anticipated trends.
- (5) Investors may not be able to voluntarily withdraw from the Portfolio. In addition, they may not be able to transfer any of the interests, rights, or obligations with regard to the Portfolio except as may be provided in the relevant Client Agreement and the Regulations.
- (6) The Portfolio may be affected by settlement periods and transfer procedures.
- (7) The Portfolio Management Service is subject to risk arising from the investment objective, investment strategy and asset allocation.
- (8) The Portfolio Manager carries out risk profiling of the Clients at the time of initial investment. In case the Client does not inform the changes in the profile, there may be a risk of investment advice on the basis of incorrect risk profiling of the Client due to insufficient information provided by such Client.
- (9) The Client should read the Document and terms and conditions of the product properly before making any investment decision. The Portfolio Manager would be acting on the advice of experts in the relative fields but would not be responsible for any loss occasioned by any act or omission on the part of such persons.
- (10) A Portfolio which tends to concentrate on a specific asset class or a specific sector could carry the risk with regard to non-diversification of the Portfolio and hence, the scope for diversification could be limited at times. There could be instances when the Portfolio might have an unusually high exposure to a few stocks.
- (11) There are inherent risks arising out of investment objectives, investment approach, investment strategy, asset allocation and non-diversification of portfolio.
- (12) All transactions of purchase and sale of securities by portfolio manager and its employees who are directly involved in investment operations shall be disclosed if found having conflict of interest with the transactions in any of the client's portfolio.
- (13) The investments are vulnerable to movements in the prices of Securities in

the Portfolio as managed by the Portfolio Manager, which could have a material bearing on the overall returns from the Portfolio. The value of the Portfolio, may be affected generally by factors affecting securities markets, such as price and volume, volatility in the capital markets, interest rates, currency exchange rates, changes in policies of the government, taxation laws or any other appropriate authority policies and other political and economic developments which may have an adverse bearing on individual securities, a specific sector or all sectors including equity and debt markets.

(14) The Portfolio Manager commenced portfolio management services operations in August, 2021 and had no track record, with regard to activities of a portfolio manager prior to it.

B. Risk associated with equity and equity related instruments.

- (1) The liquidity of the Portfolio is inherently restricted by trading volumes in the Securities in which it invests.
- (2) The valuation of the Portfolio, may be affected generally by factors affecting securities markets, such as price and volume volatility in the capital markets, interest rates, currency exchange rates, changes in policies of the government, geopolitical developments, taxation laws or any other appropriate authority policies and other political and economic developments which may have an adverse bearing on individual securities, a specific sector or all sectors including equity and debt markets. There will be no prior intimation or prior indication given to the Clients when there is a change in the composition / asset allocation pattern.
- (3) Trading volumes, settlement periods and transfer procedures may restrict the liquidity of the Securities in the Portfolio. Different segments of the Indian financial markets have different settlement periods and such periods may be extended significantly by unforeseen circumstances. The inability of the Portfolio Manager to make intended securities purchases due to settlement problems could cause the Portfolio Manager to miss certain investment opportunities, By the same rationale, the inability to sell Securities held in the Portfolio due to the absence of a well-developed and liquid secondary market for debt securities would result, at times, in potential losses to the Portfolio, in case of a subsequent decline in the value of Securities held in the Portfolio.
- (4) In case of dividend yield portfolios, returns from the Portfolio could depend on the dividend earnings and capital appreciation, if any, from the underlying investments in various dividend yield companies. The dividend earnings from the Portfolio may, vary from year to year based on the philosophy and other consideration of each of the high-dividend yield companies. Further, it should be noted that the actual distribution of dividends and frequency thereof by the high-dividend yield companies in future would depend on the quantum of profits available for distribution by each of such companies. Dividend declaration by such companies will be entirely at the discretion of the shareholders of such companies, based on the recommendations of its board of directors. Past track record of dividend distribution may not be treated as indicative of future dividend declarations. Further the dividend yield stocks may be relatively less liquid as compared to growth stocks.
- (5) Securities, which are not quoted on the stock exchanges, are inherently illiquid in nature

and carry a larger amount of liquidity risk, in comparison to securities that are listed on the exchanges or offer other exit options to the investor, including a put option. The Portfolio Manager may choose to invest in unlisted securities that offer attractive yields. This may however increase the risk of the portfolio. Such investments shall be subject to the scope of investments as laid down in the Agreement.

- (6) While securities that are listed on the stock exchange carry relatively lower liquidity risk, the ability to sell these investments is limited by the overall trading volume on the stock exchanges, money market securities, while fairly liquid, lack a well- developed secondary market, which may restrict the selling ability of the Portfolio(s) and may lead to the investment(s) incurring losses till the security is finally sold.
- (7) The Portfolio Manager may, subject to authorization by the Client in writing, participate in securities lending. The Portfolio Manager may not be able to sell / lend out securities, which can lead to temporary illiquidity. There are risks inherent in Securities lending, including the risk of failure of the other party, in this case the approved intermediary to comply with the terms of the agreement. Such failure can result in a possible loss of rights to the collateral, the inability of the approved intermediary to return the securities deposited by the lender and the possible loss of corporate benefits accruing thereon.
- (8) To the extent of investments made in Securities denominated in foreign currencies, the Indian Rupee equivalent of the net assets, distributions and income may be adversely affected by changes in regulations concerning exchange controls or political circumstances as well as the Application to it of other restrictions on investment.

C. Risk associated with debt and money market securities

- (1) Interest Rate Risk: As with all debt securities, changes in interest rates may affect valuation of the Portfolios, as the prices of Securities generally increase as interest rates decline and generally decrease as interest rates rise. Prices of long-term Securities generally fluctuate more in response to interest rate changes than prices of short-term Securities. Indian debt markets can be volatile leading to the possibility of price movements up or down in fixed income securities and thereby to possible movements in the valuations of Portfolios.
- (2) Liquidity or Marketability Risk: This refers to the ease with which a Security can be sold at or near to its valuation yield-to-maturity. The primary measure of liquidity risk is the spread between the bid price and the offer price quoted by a dealer. Liquidity risk is today characteristic of the Indian fixed income market.
- (3) Credit Risk: Credit risk or default risk refers to the risk that an issuer of a fixed income Security may default (i.e., will be unable to make timely principal and interest payments on the Security). Due to this risk, corporate debentures are sold at a higher yield above those offered on government securities which are sovereign obligations and free of credit risk. Normally, the value of a fixed income Security will fluctuate depending upon the changes in the perceived level of credit risk as well as any actual event of default. The greater the credit risk, the greater the yield required for someone to be compensated for the increased risk.
- (4) Reinvestment Risk: This risk refers to the interest rate levels at which cash flows received from the Securities under a particular Portfolio are reinvested. The additional income from reinvestment is the 'interest on interest' component. The risk is that the rate at which interim cash flows can be reinvested may be lower than that originally assumed.
- (5) The Portfolio Manager may, considering the overall level of risk of the Portfolio, invest in lower rated / unrated Securities offering higher yields. This may increase the risk of the portfolio. Such investments shall be subject to the scope of investments as laid down in the relevant Client Agreement.

D. Risk associated with derivatives instruments

- (1) The Portfolio Manager may use derivatives instruments like index futures, stock futures and options contracts, warrants, convertible securities, swap agreements or any other derivative instruments for the purpose of hedging and portfolio balancing, as permitted under the Regulations. Usage of derivatives will expose the Portfolio to

certain risks inherent to such derivatives. As and when the Portfolio Manager deals in the derivatives market on behalf of the Client, there are risk factors and issues concerning the use of derivatives that the Client should understand.

- (2) Derivative products are specialized instruments that require investment techniques and risk analyses different from those associated with stocks and bonds. The use of a derivative requires an understanding not only of the underlying instrument but of the derivative itself. Derivatives require the maintenance of adequate controls to monitor the transactions entered into, the ability to assess the risk that a derivative adds to the portfolio and the ability to forecast price or interest rate movements correctly. There is the possibility that a loss may be sustained by the portfolio as a result of the failure of another party (usually referred to as the "counter party") to comply with the terms of the derivatives contract. Other risks in using derivatives include the risk of mispricing or improper valuation of derivatives and the inability of derivatives to correlate perfectly with underlying assets, rates and indices. Thus, derivatives are highly leveraged instruments. Even a small price movement in the underlying security could have a large impact on their value.

E. Risk associated with investments in mutual fund schemes

- (1) Mutual funds and securities investments are subject to market risks and there is no assurance or guarantee that the objectives of the schemes will be achieved. The various factors which impact the value of the scheme's investments include, but are not limited to, fluctuations in markets, interest rates, prevailing political and economic environment, changes in government policy, tax laws in various countries, liquidity of the underlying instruments, settlement periods, trading volumes, etc.
- (2) As with any securities investment, the NAV of the units issued under the schemes can go up or down, depending on the factors and forces affecting the capital markets.
- (3) Past performance of the sponsors, asset management company (AMC)/fund does not indicate the future performance of the schemes of the fund.
- (4) The Portfolio Manager shall not be responsible for liquidity of the scheme's investments which at times, be restricted by trading volumes and settlement periods. The time taken by the scheme for redemption of units may be significant in the event of an inordinately large number of redemption requests or of a restructuring of the schemes.
- (5) The Portfolio Manager shall not be responsible, if the AMC/ fund does not comply with the provisions of SEBI (Mutual Funds) Regulations, 1996 or any other circular or acts as amended from time to time. The Portfolio Manager shall also not be liable for any changes in the offer document(s)/scheme information document(s) of the scheme(s), which may vary substantially depending on the market risks, general economic and political conditions in India and other countries globally, the monetary and interest policies, inflation, deflation, unanticipated turbulence in interest rates, foreign exchange rates, equity prices or other rates or prices, the

performance of the financial markets in India and globally.

- (6) The Portfolio Manager shall not be liable for any default, negligence, lapse error or fraud on the part of the AMC/the fund.
- (7) While it would be the endeavour of the Portfolio Manager to invest in the schemes in a manner, which will seek to maximize returns, the performance of the underlying schemes may vary which may lead to the returns of this portfolio being adversely impacted.
- (8) The scheme specific risk factors of each of the underlying schemes become applicable where the Portfolio Manager invests in any underlying scheme. Investors who intend to invest in this portfolio are required to and are deemed to have read and understood the risk factors of the underlying schemes.

F. Risk arising out of Non-diversification

The investment according to investment objective of a Portfolio may result in concentration of investments in a specific security / sector/ issuer, which may expose the Portfolio to risk arising out of non-diversification. Further, the portfolio with investment objective to invest in a specific sector / industry would be exposed to risk associated with such sector / industry and its performance will be dependent on performance of such sector / industry. Similarly, the portfolios with investment objective to have larger exposure to certain market capitalization buckets, would be exposed to risk associated with underperformance of those relevant market capitalization buckets. Moreover, from the style orientation perspective, concentrated exposure to value or growth stocks based on the requirement of the mandate/strategy may also result in risk associated with this factor.

G. Risk arising out of investment in Associate and Related Party transactions

- (1) All transactions of purchase and sale of securities by portfolio manager and its employees who are directly involved in investment operations shall be disclosed if found having conflict of interest with the transactions in any of the client's portfolio.
- (2) The Portfolio Manager may utilize the services of its group companies or associates for managing the portfolios of the client. In such scenarios, the Portfolio Manager shall endeavour to mitigate any potential conflict of interest that could arise while dealing with such group companies/associates by ensuring that such dealings are at arm's length basis.
- (3) The Portfolios may invest in its Associates/ Related Parties relating to portfolio management services and thus conflict of interest may arise while investing in securities of the Associates/Related Parties of the Portfolio Manager. Portfolio Manager shall ensure that such transactions shall be purely on arms' length basis and to the extent and limits permitted under the Regulations. Accordingly, all market risk and investment risk as applicable to securities may also be applicable

while investing in securities of the Associates/Related Parties of the Portfolio Manager.

7. Nature of Expenses

- (a) **Investment Management and Advisory Fees:** Investment Management and Advisory fees charged will be based on assets under management (AUM). Performance fee will be charged based on performance of the portfolio. Subject to the Regulations, the fees may be charged at the end of a specified tenure as agreed between the Client and the Portfolio Manager under the relevant Client Agreement.
- (b) **Custodian Fees and Fund Accountant Fees:** As may be decided between the Client and the Portfolio Manager under the relevant Client Agreement.
- (c) **Registrar and transfer agent fee:** Fees payable to the Registrar and Transfer Agents for effecting transfer of securities
- (d) **Brokerage and Transaction Cost:** The investments under Portfolio Management would be done through registered members of the stock exchange(s) who will charge brokerage. In addition to the brokerage, transaction cost like turnover charges, stamp duty, transaction costs, turnover tax, Securities transaction tax or any other tax levied by statutory authority(ies), foreign transaction charges (if any) and other charges on the purchase and sale of shares, stocks, bonds, debt, deposits, other financial instruments shall also be levied by the broker. Brokerage shall be charged on actuals to the Client as an expense.

Note: Operating expenses excluding brokerage, over and above the fees charged for Portfolio Management Services, shall not exceed 0.50% per annum of the Client's average daily assets under management. Subject to the Regulations and circulars issued thereunder, entry or exit loads (if any) on units of mutual funds shall also be charged from client in accordance with the Client Agreement. All other statutory levies/charges such as Stamp Duty, Security Transaction Tax and Indirect Taxes etc. would be levied separately as per the prevailing rates from time to time.

Investors may note that, the fees / expenses that may be charged to Clients mentioned below are indicative only.

I.	Investment Management and Advisory Fee*	
	1. Performance Fee	Up to 30% of portfolio return delivered.
	2. Management Fees based on asset under management (AUM)	Up to 3% on AUM
	3. Exit Loads (if redeemed in part or full) (a) In the first year from the date of investment (b) In the second year from the date of investment (c) In the third year from the date of investment (d) After three years from the date of investment	Up to 3% of the amount redeemed Up to 2% of the amount redeemed Up to 1% of the amount redeemed No exit load
II.	Custodian Fee + Fund Accounting Charges + Other Operating Expenses	Based on actuals Up to 0.5% of AUM
III.	Brokerage and Transaction Costs	Based on actuals

*Note:

i) The Portfolio Manager shall deduct directly from the Cash Account of the Client all the fees / cost i.e. transaction fee, brokerage charges, demat fees, and / or disbursement made in respect of the investments (and / or disbursements) and / or any incidentals in the form of stamp duties, registration charges, professional fees, legal fees, consultancy charges, service charges, etc. and such other expenses, duties, charges incurred on behalf of the Client on account of the services provided or require the Client to make the payments separately to the Portfolio Manager, at the option of the Portfolio Manager. Other expenses which could be attributable to the Portfolio Management Services would also be directly deducted and the client would be provided details of the same. The Portfolio Manager is also entitled to recover, from the Client, all the accrued fees / cost as mentioned above.

ii) The exact fees charged to the Client relating to each of the services will vary depending upon the exact nature of the services to be provided.

iii) All other statutory levies/ charges such as Stamp Duty, Security Transaction Tax and Indirect Taxes etc. would be levied separately as per the prevailing rates from time to time

iv) Portfolio management fees could include a fixed management fee and a variable performance fee. The amount of fixed and variable fees will be as agreed with the client and defined in the Agreement. Issues related to the frequency at which fees are charged and how they are calculated will also be as defined in the Agreement with each individual client. The performance fees as agreed with the client in the Agreement will be based on returns over a hurdle rate as agreed in the Agreement, with a high watermark. Performance fees will be charged on performance over the hurdle rate, management fee and any costs of trading. Any individual expenses in excess of 5% shall be indicated separately.

Charges for all transactions in a financial year (Broking, Demat, custody etc.) through self or associates shall be capped at 20% by value per associate (including self) per service. Any charges to self/associate shall not be at rates more than that paid to the non-associates providing the same service

8. Taxation

I. General

The following information is based on the tax laws in force in India as of the date of this Disclosure Document and reflects the Portfolio Manager's understanding of applicable provisions. The tax implications for each Client may vary significantly based on residential status and individual circumstances. As the information provided is generic in nature, Clients are advised to seek guidance from their own tax advisors or consultants regarding the tax treatment of their income, losses, and expenses related to investments in the portfolio management services. The Client is responsible for meeting advance tax obligations as per applicable laws

The maximum tax rates applicable to different categories of assesses are as follows:

1. Resident individual or HUF	As Per Normal Slab Rate (Refer Note 1)
2. AOP or BOI or any other artificial juridical Person	or
3. Non-Resident Individual	As per Default (Refer Note 1)
4. Domestic Company	
i) Total Turnover or Gross Receipts during the previous year 2020-21 does not exceed ₹ 400 crores	25% + Surcharge* (if applicable) + Cess
ii) If opted for Section 115BA (Income Tax Act, 1961)	25% + Surcharge* (if applicable) + Cess
iii) If opted for Section 115BAA (Income Tax Act, 1961)	22% + Surcharge* (if applicable) + Cess
iv) If opted for Section 115BAB (Income Tax Act, 1961)	15% for business income, 22% for other than business income + Surcharge* (if applicable) + Cess
v) Any other Domestic Company	30% + Surcharge* (if applicable) + Cess
5. Foreign Company	
i) Royalty from Government or an Indian concern in pursuance of an agreement made with the Indian concern after 31st March 1961, but before 1st April 1976, or fees for rendering technical services in pursuance of an agreement made after 29th February 1964 but before 1st	50% + Surcharge* (if applicable) + Cess

April 1976 and where such agreement has, in either case, been approved by the Central Government ii) Any other income	35% + Surcharge* (if applicable) + Cess
6. Firm & LLP	30 % + Surcharge*(if applicable) + Cess
7. Local Authority	30 % + Surcharge*(if applicable) + Cess

Refer Note2 for details explanation regarding Surcharge.

Note 1:

The Finance Act 2023 has amended the provisions of Section 115BAC w.e.f AY 2024-25 to make new tax regime the default tax regime for the assessee being an Individual, HUF, AOP (not being co-operative societies), BOI and or Artificial Juridical Person. However, the eligible taxpayers have the option to opt out of default tax regime and choose to be taxed under old tax regime. The old tax regime refers to the system of income tax calculation and slabs that existed before the introduction of the new tax regime. In the old tax regime, taxpayers have the option to claim various tax deductions and exemptions. However, in default tax regime, tax rates are lower with very few deductions compared to old tax regime.

1. Resident Individual and HUF

a) Old Regime

Income Tax Slab	Tax Rate
0 to 2,50,000	Nil Rate
2,50,000 to 5,00,000	5%
5,00,000 to 10,00,000	20%
Above 10,00,000	30%

For age above 60 but not more than Basic Exemption limit is 3,00,000

For age above 80 than Basic Exemption Limit is 5,00,000

"Rebate under Section 87A is applicable if Total Taxable Income is up to ₹ 5,00,000, i.e., tax of ₹ 12,500 is rebated, for those who opt out of the Default Tax Regime."

b) New Regime Under Sec 115BAC

Income Tax Slab	Tax Rate
0 to 4,00,000	Nil
4,00,000 to 8,00,000	5%
8,00,000 to 12,00,000	10%
12,00,000 to 16,00,000	15%
16,00,000 to 20,00,000	20%
20,00,000 to 24,00,000	25%

Above 24,00,000 **30%**

"Under the New/Default Tax Regime, rebate is applicable if Total Taxable Income is up to ₹ 12,00,000, i.e., tax of ₹ 60,000 is rebated."

Rebate under Section 87A is not available against tax payable on income chargeable at special rates, including capital gains taxable under sections 111A, 112 and 112A of the Income-tax Act.

2. AOP or BOI or any other artificial juridical Person

a) Old Regime

Income Tax Slab	Tax Rate
0 to 2,50,000	Nil
2,50,001 to 5,00,000	5%
5,00,001 to 10,00,000	20%
10,00,001 to 50,00,000	30%
50,00,001 to 100,00,000	30%
100,00,001 to 200,00,000	30%
200,00,001 to 500,00,000	30%
Above 500,00,00	30%

b) New Regime u/s 115BAC

Income Tax Slab	Tax Rate
0 to 3,00,000	Nil
3,00,000 to 7,00,000	5%
7,00,001 to 10,00,000	10%
10,00,001 to 12,00,000	15%
12,00,001 to 15,00,000	20%
15,00,001 to 50,00,000	30%
50,00,001 to 100,00,000	30%
100,00,001 to 200,00,000	30%
Above 200,00,001	

3. Non-Resident Individual

Income Tax Slab and tax rate are same as Individual Resident and HUF mentioned above in point 1

Note 2:

Applicable Surcharge Rate:

1. Individual Resident, HUF and Non-Resident Individual

Income Limit	Surcharge Rate (New Tax Regime)	Surcharge Rate (Old Tax Regime)
Up to Rs 50 Lakhs	Nil	Nil
Rs 50 Lakhs to 1 Cr	10%	10%
Rs 1Cr to 2 Cr	15%	15%
Rs 2Cr to 5Cr	25%	25%
Above Rs 5Cr	37%	37%

*Note: The enhanced surcharge of 25% & 37%, as the case may be, is not levied, from income chargeable to tax under sections 111A, 112, 112A and Dividend Income. Hence, the maximum rate of surcharge on tax payable on such incomes shall be 15%, except when the income is taxable under section 115A, 115AB, 115AC, 115ACA and 115E.

2. AOP or BOI or any other artificial juridical Person

Income Limit (Old Regime)	Surcharge (Old Tax Regime)	Income Limit (New Regime)	Surcharge (New Tax Regime)
Up to 2,50,000	Nil	Up to 3,00,000	Nil
2,50,001 to 5,00,000	Nil	3,00,000 to 7,00,000	Nil
5,00,000 to 10,00,000	Nil	7,00,000 to 10,00,000	Nil
10,00,000 to 50,00,000	Nil	10,00,000 to 12,00,000	Nil
50,00,000 to 100,00,000	10%	12,00,000 to 15,00,000	Nil
100,00,000 to 200,00,000	15%	15,00,000 to 50,00,000	Nil
200,00,000 to 500,00,000	25%	50,00,000 to 100,00,000	10%
Above 500,00,000	37%	100,00,000 to 200,00,000	15%
		Above 200,00,000	25%

Note: The enhanced surcharge of 25% & 37%, as the case may be, is not levied, from income chargeable to tax under sections 111A, 112, 112A and Dividend Income. Hence, the maximum rate of surcharge on tax payable on such incomes shall be 15%, except when the income is taxable under section 115A, 115AB, 115AC, 115ACA and 115E. In case of an association of persons consisting of only companies as its members, the rate of surcharge on the amount of Income-tax shall be maximum 15% (applicable w.e.f AY 2023-24).

3. Domestic Company:

- 7%- Taxable income above 1 Cr upto 10 Cr

- 12%- Taxable income above 10 Cr
- 10%- If Company opting for taxability u/s 115BAA or Section 115BAB

4. Foreign Company:

- 2%- Taxable Income above Rs 1Cr up to 10 Cr
- 5%- Taxable above Rs 10 Cr

5. Firm/LLP

- 12% if Taxable Income Exceeds ₹ 1 Crore

6. Local Authority

- 12% if taxable income exceeds ₹ 1 crore

Note: Health and Education cess – @ 4% shall also be paid on the amount of income tax plus surcharge (if any)

II. Tax Deducted at Source

In the case of resident clients, the income arising by way of dividend, interest on securities, income from units of mutual fund, etc. from investments made in India are subject to the provisions of tax deduction at source (TDS). Residents without Permanent Account Number (PAN) are subjected to a higher rate of TDS.

In the case of non-residents, any income received or accrues or arises; or deemed to be received or accrue or arise to him in India is subject to the provisions of tax deduction at source under the IT Act. The authorized dealer is obliged and responsible to make sure that all such relevant compliances are made while making any payment or remittances from India to such non-residents. Also, if any tax is required to be withheld on account of any future legislation, the Portfolio Manager shall be obliged to act in accordance with the regulatory requirements in this regard. Non-residents without PAN or tax residency certificate (TRC) of the country of his residence are currently subjected to a higher rate of TDS.

The Finance Act, 2021 introduced a special provision to levy higher rate for TDS for the residents who are not filing income-tax return in time for previous two years and aggregate of TDS is INR 50,000 or more in each of these two previous years. This provision of higher TDS is not applicable to a non-resident who does not have a permanent establishment in India and to a resident who is not required to furnish the return of income.

III. Long Term Capital Gains

Where investment under portfolio management services is treated as investment, the gain or loss from transfer of Securities shall be taxed as capital gains under section 45 of the IT Act.

Period of Holding

The details of period of holding for different capital assets for the purpose of determining

long term or short-term capital gains are explained hereunder:

Securities	Position upto 22 July 2024 Period of Holding	Position on or after 23 July 2024 Period of Holding	Characterization
Listed Securities (other than unit) and unit of equity oriented mutual funds, unit of UTI, zero coupon bonds	More than twelve (12) months	More than twelve (12) months	Long-term capital asset
	Twelve (12) months or less	Twelve (12) months or less	Short-term capital asset
Unlisted shares of a company	More than twenty-four (24) months	More than twenty-four (24) months	Long-term capital asset
	Twenty-four (24) or less	Twenty-four (24) or less	Short-term capital asset
Other Securities (other than Specified Mutual Fund or Market Linked Debenture acquired on or after 1 April 2023; or unlisted bond or unlisted debenture)	More than Thirty-six (36) months	More than twenty-four (24) months	Long-term capital asset
	Thirty-six (36) months or less	Twenty-four (24) or less	Short-term capital asset
Specified Mutual Fund or Market Linked Debenture acquired on or after 1 April 2023	Any period	Any period	Short-term capital asset
Unlisted bond or unlisted debenture	More than 36 months		Long-term capital asset
	36 months or less	Any period	Short-term capital asset

- **Definition of Specified Mutual Fund:**
Before 1st April 2025:

“Specified Mutual Fund” means a Mutual Fund by whatever name called, where not more than thirty-five per cent of its total proceeds is invested in the equity shares of domestic companies.

On and after 1st April 2025:

“Specified Mutual Fund” means, --

- a) a Mutual Fund by whatever name called, which invests more than sixty-five per cent. of its total proceeds in debt and money market instruments; or
- b) a fund which invests sixty-five per cent. or more of its total proceeds in units of a fund referred to in sub-clause (a).

- **Definition of debt and money market instruments:**

“debt and money market instruments” shall include any securities, by whatever name called, classified or regulated as debt and money market instruments by the Securities and Exchange Board of India.

- **Definition of Market Linked Debenture:**

“Market Linked Debenture” means a security by whatever name called, which has an underlying principal component in the form of a debt security and where the returns are linked to the market returns on other underlying securities or indices, and includes any security classified or regulated as a market linked debenture by SEBI.

- **For listed equity shares in a domestic company or units of equity-oriented fund or business trust**

The Finance Act 2018 changed the method of taxation of long-term capital gains from transfer of listed equity shares and units of equity-oriented fund or business trust.

As per section 112A of the IT Act, long term capital gains exceeding INR 1 lakh arising on transfer of listed equity shares in a company or units of equity oriented fund or units of a business trust is taxable at 10%, provided such transfer is chargeable to STT. This exemption limit has been increased from INR 1 lakh to INR 1.25 lakh and tax rate has been increased from 10% to 12.5% with effect from 23 July 2024. Further, to avail such concessional rate of tax, STT should also have been paid on acquisition of listed equity shares, unless the listed equity shares have been acquired through any of the notified modes not requiring to fulfil the pre-condition of chargeability to STT.

Long term capital gains arising on transaction undertaken on a recognized stock exchange located in any International Financial Services Centre and consideration is paid or payable in foreign currency, where STT is not chargeable, is also taxed at a rate of 10%. This benefit is available to all assessees. This tax rate is increased from 10% to 12.5%.

The long-term capital gains arising from the transfer of such Securities shall be calculated without indexation. In computing long term capital gains, the cost of acquisition (COA) is an item of deduction from the sale consideration of the shares. To provide relief on gains already accrued upto 31 January 2018, a mechanism has been provided to “step up” the COA of Securities. Under this mechanism, COA is substituted with FMV, where sale consideration is higher than the FMV. Where sale value is higher than the COA but not higher than the FMV, the sale value is deemed as the COA.

Specifically, in case of long-term capital gains arising on sale of shares or units acquired originally as unlisted shares/units upto 31 January 2018, COA is substituted with the “indexed COA” (instead of FMV) where sale consideration is higher than the indexed COA. Where sale value is higher than the COA but not higher than the indexed COA, the sale value is deemed as the COA. This benefit is available only in the case where the shares or units, not listed on a recognised stock exchange as on the 31 January 2018, or which became the property of the assessee in consideration of share which is not listed on such exchange as on the 31 January 2018 by way of transaction not regarded as transfer under section 47 (e.g. amalgamation, demerger), but listed on such exchange subsequent to the date of transfer, where such transfer is in respect of sale of unlisted equity shares under an offer for sale to the public included in an initial public offer.

The CBDT has clarified that 10% withholding tax will be applicable only on dividend income distributed by mutual funds and not on gain arising out of redemption of units.

No deduction under Chapter VI-A or rebated under Section 87A will be allowed from the above long-term capital gains.

- **For other capital assets (securities and units) in the hands of resident of India**

Long-term capital gains in respect of capital asset (all securities and units other than listed shares and units of equity oriented mutual funds and business trust) is chargeable to tax at the rate of 20% plus applicable surcharge and education cess, as applicable. The capital gains are computed after considering cost of acquisition as adjusted by cost inflation index notified by the Central Government and expenditure incurred wholly and exclusively in connection with such transfer. With effect from 23 July 2024, long-term capital gains on such assets shall generally be taxable at 12.5% without indexation benefit, subject to applicable transitional provisions, if any.

As per Finance Act, 2017, the base year for indexation purpose has been shifted from 1981 to 2001 to calculate the cost of acquisition or to take Fair Market Value of the asset as on that date. Further, it provides that cost of acquisition of an asset acquired before 1 April 2001 shall be allowed to be taken as Fair Market Value as on 1 April 2001.

- **For capital assets in the hands of Foreign Portfolio Investors (FPIs)**

Long term capital gains, arising on sale of debt Securities, debt-oriented units (other than units purchased in foreign currency and capital gains arising from transfer of such units by offshore funds referred to in section 115AB) are taxable at the rate of 10% under Section 115AD of the IT Act. This tax rate has been increased from 10% to 12.5% with effect from 23 July 2024. Such gains would be calculated without considering benefit of (i) indexation for the COA and (ii) determination for capital gain/loss in foreign currency and reconversion of such gain/loss into the Indian currency.

Long term capital gains, arising on sale of listed shares in the company or units of equity-oriented funds or units of business trust and subject to conditions relating to payment of STT, are taxable at 10% as mentioned in para 12.10.2 above. This tax rate has been increased from 10% to 12.5% with effect from 23 July 2024.

- **For other capital asset in the hands of non-resident Indians**

Under section 115E of the IT Act, any income from investment or income from long-term capital gains of an asset other than specified asset as defined in Section 115C (specified assets include shares of Indian company, debentures and deposits in an Indian company which is not a private company and Securities issued by Central Government or such other Securities as notified by Central Government) is chargeable at the rate of 20%. Income by way long-term capital gains of the specified asset is, however, chargeable at the rate of 10% plus applicable surcharge and cess (without benefit of indexation and foreign currency fluctuation). This tax rate has been increased from 10% to 12.5% with effect from 23 July 2024.

IV. Short Term Capital Gains.

Section 111A of the IT Act provides that short-term capital gains arising on sale of listed equity shares of a company or units of equity-oriented fund or units of a business trust are chargeable to income tax at a concessional rate of 15% plus applicable surcharge and cess, provided such transactions are entered on a recognized stock exchange and are chargeable to Securities Transaction Tax (STT). This tax rate has been increased from 15% to 20% with effect from 23 July 2024. However, the above shall not be applicable to transaction undertaken on a recognized stock exchange located in any International Financial Services Centre and where the consideration for such transaction is paid or payable in foreign currency. Further, Section 48 provides that no deduction shall be allowed in respect of STT paid for the purpose of computing Capital Gains

Short term capital gains in respect of other capital assets (other than listed equity shares of a company or units of equity-oriented fund or units of a business trust) are chargeable to tax as per the relevant slab rates or fixed rate, as the case may be.

The Specified Mutual Funds or Market Linked Debentures acquired on or after 1 April 2023 will be treated as short term capital asset irrespective of period of holding as per Section 50AA of the IT Act. The unlisted bonds and unlisted debentures have been brought within the ambit of Section 50AA of the IT Act with effect from 23 July 2024.

v. Profits and gains of business or profession.

If the Securities under the portfolio management services are regarded as business/trading asset, then any gain/loss arising from sale of such Securities would be taxed under the head “Profits and Gains of Business or Profession” under section 28 of the IT Act. The gain/ loss is to be computed under the head “Profits and Gains of Business or Profession” after allowing normal business expenses (inclusive of the expenses incurred on transfer) according to the provisions of the IT Act.

Interest income arising on Securities could be characterized as ‘Income from other sources’ or ‘business income’ depending on facts of the case. Any expenses incurred to earn such interest income should be available as deduction, subject to the provisions of the IT Act.

VI. Losses under the head capital gains/business income.

In terms of section 70 read with section 74 of the IT Act, short term capital loss arising during a year can be set-off against short term as well as long term capital gains. Balance loss, if any, shall be carried forward and set-off against any capital gains arising during the subsequent 8 assessment years. A long-term capital loss arising during a year is allowed to be set-off only against long term capital gains. Balance loss, if any, shall be carried forward and set-off against long term capital gains arising during the subsequent 8 assessment years.

Business loss is allowed to be carried forward for 8 assessment years and the same can be set off against any business income.

VII. General Anti Avoidance Rules (GAAR)

GAAR may be invoked by the Indian income-tax authorities in case arrangements are found to be impermissible avoidance arrangements. A transaction can be declared as an impermissible avoidance arrangement, if the main purpose of the arrangement is to obtain a tax benefit and which satisfies one of the 4 (four) below mentioned tainted elements:

- The arrangement creates rights or obligations which are ordinarily not created between parties dealing at arm's length;

- It results in directly / indirectly misuse or abuse of the IT Act;
- It lacks commercial substance or is deemed to lack commercial substance in whole or in part; or
- It is entered into, or carried out, by means, or in a manner, which is not normally employed for bona fide purposes.

In such cases, the tax authorities are empowered to reallocate the income from such arrangement, or recharacterize or disregard the arrangement. Some of the illustrative powers are:

- Disregarding or combining or recharacterising any step in, or a part or whole of the arrangement;
- Ignoring the arrangement for the purpose of taxation law;
- Relocating place of residence of a party, or location of a transaction or situation of an asset to a place other than provided in the arrangement;
- Looking through the arrangement by disregarding any corporate structure; or
- Re-characterising equity into debt, capital into revenue, etc.

The GAAR provisions would override the provisions of a treaty in cases where GAAR is invoked. The necessary procedures for application of GAAR and conditions under which it should not apply, have been enumerated in Rules 10U to 10UC of the Income-tax Rules, 1962. The Income-tax Rules, 1962 provide that GAAR should not be invoked unless the tax benefit in the relevant year does not exceed INR 3 crores.

On 27 January 2017, the CBDT has issued clarifications on implementation of GAAR provisions in response to various queries received from the stakeholders and industry associations. Some of the important clarifications issued are as under:

- Where tax avoidance is sufficiently addressed by the Limitation of Benefit Clause (LOB) in a tax treaty, GAAR should not be invoked.
- GAAR should not be invoked merely on the ground that the entity is located in a tax efficient jurisdiction.
- GAAR is with respect to an arrangement or part of the arrangement and limit of INR 3 crores cannot be read in respect of a single taxpayer only.

VIII. FATCA Guidelines

According to the Inter-Governmental Agreement read with the Foreign Account Tax Compliance Act (FATCA) provisions and the Common Reporting Standards (CRS), foreign financial institutions in India are required to report tax information about US account holders and other account holders to the Indian Government. The Indian Government has enacted rules relating to FATCA and CRS reporting in India. A statement is required to be provided online in Form 61B for every calendar year by 31 May. The reporting financial institution is expected to maintain and report the following information with respect to each reportable account:

- a) the name, address, taxpayer identification number and date and place of

- birth;
- b) where an entity has one or more controlling persons that are reportable persons:
 - i. the name and address of the entity, TIN assigned to the entity by the country of its residence; and
 - ii. the name, address, date of birth, place of birth of each such controlling person and TIN assigned to such controlling person by the country of his residence.
- c) account number (or functional equivalent in the absence of an account number);
- d) account balance or value (including, in the case of a cash value insurance contract or annuity contract, the cash value or surrender value) at the end of the relevant calendar year; and
- e) the total gross amount paid or credited to the account holder with respect to the account during the relevant calendar year.

Further, it also provides for specific guidelines for conducting due diligence of reportable accounts, viz. US reportable accounts and other reportable accounts (i.e. under CRS).

IX. Goods and Services Tax on services provided by the portfolio manager

Goods and Services Tax (GST) will be applicable on services provided by the Portfolio Manager to its Clients. Accordingly, GST at the rate of 18% would be levied on fees if any, payable towards portfolio management fee.

9. Accounting policies.

Following accounting policies are followed for the portfolio investments of the Client

I. Client Accounting

- (1) The Portfolio Manager shall maintain a separate Portfolio record in the name of the Client in its book for accounting the assets of the Client and any receipt, income in connection therewith as provided under Regulations. Proper books of accounts, records, and documents shall be maintained to explain transactions and disclose the financial position of the Client's Portfolio at any time.
- (2) The books of account of the Client shall be maintained on an historical cost basis.
- (3) Transactions for purchase or sale of investments shall be recognised as of the trade date and not as of the settlement date, so that the effect of all investments traded during a Financial Year are recorded and reflected in the financial statements for that year.
- (4) All expenses will be accounted on due or payment basis, whichever is earlier.
- (5) The cost of investments acquired or purchased shall include brokerage, stamp charges and any charges customarily included in the broker's contract note. In

respect of privately placed debt instruments any front-end discount offered shall be reduced from the cost of the investment. Sales are accounted based on proceeds net of brokerage, stamp duty, transaction charges and exit loads in case of units of mutual fund. Securities transaction tax, demat charges and Custodian fees on purchase/ sale transaction would be accounted as expense on receipt of bills. Transaction fees on unsettled trades are accounted for as and when debited by the Custodian.

- (6) Tax deducted at source (TDS) shall be considered as withdrawal of portfolio and debited accordingly.

II. Recognition of portfolio investments and accrual of income

- (1) In determining the holding cost of investments and the gains or loss on sale of investments, the “first in first out” (FIFO) method will be followed.
- (2) Unrealized gains/losses are the differences, between the current market value/NAV and the historical cost of the Securities. For derivatives and futures and options, unrealized gains and losses will be calculated by marking to market the open positions.
- (3) Dividend on equity shares and interest on debt instruments shall be accounted on accrual basis. Further, mutual fund dividend shall be accounted on receipt basis.
- (4) Bonus shares/units to which the security/scrip in the portfolio becomes entitled will be recognized only when the original share/scrip on which bonus entitlement accrues are traded on the stock exchange on an ex-bonus basis.
- (5) Similarly, right entitlements will be recognized only when the original shares/security on which the right entitlement accrues is traded on the stock exchange on the ex-right basis.
- (6) In respect of all interest-bearing Securities, income shall be accrued on a day-to-day basis as it is earned.
- (7) Where investment transactions take place outside the stock exchange, for example, acquisitions through private placement or purchases or sales through private treaty, the transactions shall be recorded, in the event of a purchase, as of the date on which the scheme obtains an enforceable obligation to pay the price or, in the event of a sale, when the scheme obtains an enforceable right to collect the proceeds of sale or an enforceable obligation to deliver the instruments sold.

III. Valuation of portfolio investments

- (1) Investments in listed equity shall be valued at the last quoted closing price on the stock exchange. When the Securities are traded on more than one recognised stock exchange, the Securities shall be valued at the last quoted closing price on the stock exchange where the security is principally traded. It would be left to the portfolio manager to select the appropriate stock exchange, but the reasons for

the selection should be recorded in writing. There should, however, be no objection for all scrips being valued at the prices quoted on the stock exchange where a majority in value of the investments are principally traded. When on a particular valuation day, a security has not been traded on the selected stock exchange, the value at which it is traded on another stock exchange may be used. When a security is not traded on any stock exchange on a particular valuation day, the value at which it was traded on the selected stock exchange or any other stock exchange, as the case may be, on the earliest previous day may be used provided such date is not more than thirty days prior to the valuation date.

- (2) Investments in units of a mutual fund are valued at NAV of the relevant scheme. Provided investments in mutual funds shall be through direct plans only.
- (3) Debt Securities and money market Securities shall be valued as per the prices given by third party valuation agencies or in accordance with guidelines prescribed by Association of Portfolio Managers in India (APMI) from time to time.
- (4) Unlisted equities are valued at prices provided by independent valuer appointed by the Portfolio Manager basis the International Private Equity and Venture Capital Valuation (IPEV) Guidelines on a semi-annual basis.
- (5) In case of any other Securities, the same are valued as per the standard valuation norms applicable to the mutual funds.

The Investor may contact the customer services official of the Portfolio Manager for the purpose of clarifying or elaborating on any of the above policy issues.

The Portfolio Manager may change the valuation policy for any particular type of security consequent to any regulatory changes or change in the market practice followed for valuation of similar Securities. However, such changes would be in conformity with the Regulations.

10. Investors Services:

- I. Name, address and telephone number of the investor relation officer who shall attend to the investor queries and complaints.**

Name: Mr. Rajesh Kumar Sahu

Address: One Lodha Place, 12th Floor, Unit No. 1215C, Senapati Bapat Marg, Lower Parel, Mumbai – 400013, Maharashtra, India

Tel: 9937672026

Email: grievance.pms@magadhcapital.com

- II. Grievance redressal and dispute settlement mechanism.**

- (1) The Portfolio Manager will endeavor to address all complaints regarding service deficiencies or causes for grievance, for whatever reason, in a reasonable manner and time
- (2) A designated e-mail address has been created grievance.pms@magadhcapital.com

(3) The internal deadline for resolving the complaints will be as follows:

- a) Matters regarding portfolio performance and funds allocation: within 3 working days
- b) Matters regarding to custodian: within 7 working days
- c) Matters regarding dividends and other corporate actions: will be followed up rigorously with the agencies concerned under intimation to Clients.
- d) It will ensure that every complaint is attended immediately and an acknowledgment will be given immediately.
- e) The Register of complaint and Grievance will be made available to the Internal/External Auditors during the time of Audit and to the Regulatory Authorities.
- f) The soft copies / hard copies of the complaints received from the customers are preserved by the Client Relations Department for future reference, if required.

III. DIRECT ONBOARDING

Clients have the option for direct on-boarding without intermediation of any person engaged in distribution services to avail services of Magadh Capital Advisors LLP by dropping an email on investor.info@magadhdhcapital.com.

Also, Portfolio Manager shall not charge any fees to Clients at the time of direct onboarding except the statutory charges applicable for execution of the agreement and related documents for account opening.

11. Details of the diversification policy of the portfolio manager.

Magadh Capital follows a fundamental, bottom-up research approach to identify well-governed businesses with sustainable competitive advantages, healthy or improving RoE and ROCE, and a meaningful gap between fair value and the prevailing market price. The firm adopts a sector-agnostic investment approach, where sectoral exposure is determined solely through bottom-up research aimed at identifying the most attractive risk-reward opportunities. Further, Magadh Capital does not use market capitalisation as a criterion for portfolio diversification.

At the core of Magadh Capital's portfolio construction framework is the FACTS Box process, which enables the achievement of real diversification. This structured five-bucket methodology classifies investment opportunities based on their fundamental risk-return characteristics. The five buckets are Fast Growers, Asset Plays, Cyclicals, Turnarounds, and Stalwarts, as described below. These five buckets have pre-determined weight ranges.

Bucket	Investment Theme & Characteristics	Future Stars (% of Portfolio)	Value for Growth (% of Portfolio)
Fast Growers	Potential for doubling of earnings in 3–4 years; healthy and growing RoE. Typically small and mid-cap companies with higher risk but meaningful risk-adjusted return potential.	60% – 90%	40% – 60%
Asset Plays	Clear mispricing of assets such as cash/equivalents, working capital, or fixed assets, with visible catalysts. Lower downside risk, though returns may be moderate. Upside can be substantial with a reasonable probability.	0% – 10%	0% – 10%
Cyclicals	Companies with strong competitive advantages or impending sustainable improvement in RoE. Commodity price cycle assessment is a key factor.	0% – 10%	0% – 10%
Turnarounds	Companies with a strong operating history that have faced temporary setbacks but are likely to improve due to changes in business model, management, ownership, or favourable sectoral tailwinds.	0% – 10%	0% – 10%
Stalwarts	Companies delivering 12–15% p.a. earnings growth with high visibility over a sustained period; market leaders with robust RoE, typically large-cap businesses.	0% – 30%	20% – 45%

By allocating capital across these categories in a disciplined manner, the FACTS Box framework helps mitigate portfolio concentration risk, reduce correlation among holdings, and optimise overall risk-adjusted returns across market cycles.

The investment relation officer(s) will be the interface between the Portfolio Manager and the Client. The investment relation officer(s) shall be responsible for redressing the grievances of the Clients. In case the client is not satisfied with the response or redressal of grievances by Portfolio Manager, the Client may approach SEBI for the same through SEBI Complaints Redress System (“**SCORES**”). SCORES is a centralized web-based complaints redress system which enables clients to lodge and follow up their complaints / grievances and track the status of redressal of such complaints / grievances online from anywhere. Clients can visit the website <http://scores.gov.in> for further details on SCORES or can also download mobile application as “SEBI SCORES”.

All disputes, differences, claims and questions whatsoever arising from (i) the Client Agreement; and (ii) the services to be rendered by the Portfolio Manager and / or their respective representatives shall be attempted to be resolved by discussions between the Parties and amicable settlement. In case the disputes remain unsettled, the same shall be referred to a sole arbitrator to be appointed jointly by the Portfolio Manager and the Client and such arbitration shall be in accordance with and subject to the provisions of the Arbitration and Conciliation Act 1996, or any statutory modification or re-enactment thereof for the time being in force.

Such arbitration proceedings shall be held in Mumbai, India.

Name and Signature of any two Partners of the Portfolio Manager:

SR. NO.	NAME OF PARTNERS	SIGNATURE
1.	Mr. Vipul Prasad	
2.	Mr. Vivek Prasad	

Date: May 21, 2026

Place: Mumbai

Part-II- Dynamic Section

12. Client Representation.

(i)

<u>Details of Client's accounts activated:</u> Category of Clients	As on 31st March, 2026		As on 31st March, 2025		As on 31st March, 2024		Discretionary/ Non-Discretionary, if any
	No. of Clients	Funds Managed (INR crores)	No. of Clients	Funds Managed (INR crores)	No. of Clients	Funds Managed (INR crores)	
Associate/ Group Companies (last 3 years)	3	23.4	3	26	3	15.6	Discretionary
Others (last 3 years)	57	67.07	29	39.2	10	17.4	Discretionary
Total	60	90.47	32	65.2	13	33	

(ii) Complete disclosure in respect of transactions with related parties as per the standards specified by the Institute of Chartered Accountants of India

- Names of related parties and nature of relationship (as on March 31, 2026) are as under:

- a. Related parties where control exists: Magadh Capital Advisors LLP does not have any holding company, subsidiary company, fellow subsidiary company or associate company.
- b. Key Management Personnel: Vipul Prasad (Principal Officer / Portfolio Manager and Designated partner), Vivek Prasad (Designated Partner), Vikram Sinha (Partner)
- c. Other related parties: None.

• **Transactions with related parties as on March 31, 2026 (Amount in Rupees):**

Name	Received Amt	Paid Amt	Remarks
Vivek Prasad	-	6,18,150	Salary
Vipul Prasad	-	-	-

13. Financial Performance of Portfolio Manager (Based on Audited Financial Statement)

Financial highlights (Audited) of Magadh Capital Advisors LLP for the last 3 financial years are given as under:

(In lakhs)

Particulars	FY2024	FY2025	FY2026 (Provisional Figures)
Gross Income	292.71	244.57	83.045
Profit/(Loss) before Depreciation and Tax	166.16	109.81	-4.67
Depreciation	-0.45	0.42	0
Profit/(Loss) before Tax	166.62	109.39	-4.67
Provision for Tax	27.24	25.00	0
Profit/(Loss) After Tax	139.37	110.17	-4.67
Balance brought forward from previous year	-49.54	89.83	200
Amount available for appropriation	-49.54	-	-4.67
Profit/(Loss) carried forward to the Balance Sheet	89.83	200	195.53

14. Performance of Portfolio Manager.

Performance of Value for Growth Approach

Performance	From 01-04-2023 to 31-03-2024	From 01-04-2024 to 31-03-2025	From 01-04-2025 to 31-03-2026
Value for Growth	58.63%	14.89%	-8.11
BSE 500 TRI Index	40.16%	5.96%	-3.12

Performance of Future Stars Approach

Performance	From 01-04-2023 to 31-03-2024	From 01-04-2024 to 31-03-2025	From 01-04-2025 to 31-03-2026
Future Stars	74.45%	22.13%	-3.6
BSE 500 TRI Index	40.16%	5.96%	-3.12

Notes: Data is for the period April 01, 2023 to March 31, 2026. Past performance is no guarantee of future returns. Performance data provided herein is not verified by SEBI. TRI: Total Returns Index.

- Returns are calculated on Time Weighted Rate of Return (TWRR) based on Daily Valuation of all the clients combined together for each investment approach. This may differ from the individual client return as the Investment Approach returns are combined for all the clients in each Investment Approach.
- All cash holdings and investments in liquid funds have been considered for calculation of performance.
- Performance data is net of all fees and all expenses (including taxes)
- Performance data and Investment Approach provided is not verified by any regulatory authority

15. Audit Observations

There aren't any audit observations for the preceding 3 years.

16. Details of investments in the securities of related parties of the portfolio manager

The Portfolio Manager does not invest in the securities of its related parties or associates.

J. D. JHAVERI & ASSOCIATES
Chartered Accountants



Mr. Jatin D. Jhaveri
B.Com, F.C.A.

Head Office: -
A-105, Silver Arch, Ceaser
Road, Amboli, Opp.
Filmalaya Studio, Andheri
(West), Mumbai 400 058.

Mobile No:- 9821195140
E-Mail:- jdjhaveri@gmail.com

The CEO/ Designated Partners

Magadh Capital Advisors LLP
0-801, Floor 8-Tower 1,Terra, Planet Godrej, Keshavrao
Khadye Marg, Saat Rasta, Jacob Circle, Mumbai 400011.

We have examined the Disclosure Document for the Portfolio Management Services dated 21st May' 2026 prepared in accordance with Securities and Exchange Board of India (Portfolio Managers) Regulations,2020 ("SEBI Regulation"), as amended from time to time, by Magadh Capital Advisors LLP, having its registered office at 0-801 ,Floor 8, Tower1,Terra, Planet Godrej, Keshavrao Khadye Marg, Saat Rasta, Jacob Circle, Mumbai - 400011.

On the basis of our examination of the disclosure Document, the audited annual accounts of Magadh Capital Advisors LLP and other relevant records and information furnished before us, we certify that the disclosures made in the Disclosure Document for the Portfolio Management services are true, fair and adequate to enable the investor to make a well informed decision.

We have relied on the representation given by the management about the penalties or litigations against the Portfolio Manager mentioned in the Disclosure Document.

This certificate has been issued to Magadh Capital Advisors LLP for submission to the Securities and Exchange Board of India for the sole purpose of certifying the contents of the Disclosure Document for the Portfolio Management Services and should not be used or referred to for any other purpose without our prior written consent.

**For J. D. Jhaveri & Associates Chartered
Accountants**
FRN No.: 111850W

Jatin D Jhaveri
Proprietor
M. No. 045072
UDIN:26045072NXWQSV6675
Date: 21/05/2026
Place: Mumbai